Absa Bank Kenya PLC

The Board of Directors of Absa Bank Kenya PLC is pleased to announce the unaudited Group results for the period ended 30 June 2020

	Bank				Group			
	June 2019 Shs '000 Unaudited	December 2019 Shs '000 Audited	March 2020 Shs '000 Unaudited	June 2020 Shs '000 Unaudited	June 2019 Shs '000 Unaudited	December 2019 Shs '000 Audited	March 2020 Shs '000 Unaudited	June 2020 Shs '000 Unaudited
I STATEMENT OF FINANCIAL POSITION								
A ASSETS								
1 Cash balances (both local and foreign)	4,751,709	7,091,076	6,017,150	5,067,749	4,751,709	7,091,076	6,017,150	5,067,749
2 Balances due from Central Bank of Kenya	20,692,542	21,716,447	16,307,091	20,938,548	20,692,542	21,716,446	16,307,091	20,938,548
3 Kenya Government and other securities held for dealing purposes	32,861,890	43,774,296	43,114,786	41,857,346	32,861,890	43,774,296	43,114,786	41,857,346
4 Financial assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5 Investment securities:	-	-	-	-	-		-	-
a) Held to maturity:	-	-	-	-	-		-	-
a. Kenya Government securities	-	-	-	-	-	-	-	-
b. Other securities	-	-	-	-	-	-	-	-
b) Fair value through other comprehensive income (FVOCI)	80,767,119	78,785,265	81,850,333	91,574,036	81,185,169	79,221,471	82,267,415	92,013,288
a. Kenya Government securities	80,767,119	78,785,265	81,850,333	91,574,036	81,185,169	79,221,471	82,267,415	92,013,288
b. Other securities	-	-	-	-	-		-	-
6 Deposits and balances due from local banking institutions	61,444	2,000,000	525,750	1,716	61,444	2,000,000	525,750	1,716
7 Deposits and balances due from banking institutions abroad	3,919,750	1,803,084	1,526,623	3,319,536	3,919,750	1,803,084	1,526,623	3,319,536
8 Tax recoverable	127,877	292,160	-	1,904,867	197,384	424,950	-	2,027,389
9 Loans and advances to customers(net)	186,655,050	194,894,941	202,959,640	201,948,138	186,655,050	194,894,941	202,959,640	201,948,138
10 Balances due from banking institutions in the group	9,592,199	9,203,788	13,139,854	9,412,380	9,592,199	8,702,992	12,648,041	8,867,613
11 Investment in associates	-	-	-	-	-	-	-	-
12 Investment in subsidiary companies	362,761	372,761	372,761	422,751	-	-	-	-
13 Investment in joint ventures	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-
15 Property and equipment	2,940,103	2,889,187	3,349,411	3,228,565	2,940,347	2,889,401	3,349,609	3,228,748
16 Prepaid operating lease rentals	45,486	35,299	35,299	34,725	45,486	35,299	35,299	34,725
17 Intangible assets	680,414	538,836	453,966	364,530	739,885	617,994	532,486	440,707
18 Deferred tax	2,179,389	3,097,482	2,928,757	2,424,391	2,205,508	3,123,014	2,964,893	2,456,432
19 Retirement benefit asset	15,438	-	-	-	15,438	-	-	-
20 Other assets	8,087,530	7,614,578	9,111,535	9,518,426	7,973,105	7,686,827	9,271,976	9,676,906
21 Total asset	**353,740,701**	**374,109,200**	**381,692,956**	**392,017,704**	**353,836,906**	**373,981,791**	**381,520,759**	**391,878,841**
B LIABILITIES								
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23 Customers' deposits	229,669,376	238,291,230	239,406,298	249,714,021	229,669,376	237,738,654	238,713,526	248,745,829
24 Deposits and balances due to banking institutions (local)	7,371,956	3,753,767	2,766,843	5,638,863	7,371,956	3,753,767	2,766,843	5,638,863
25 Deposits and balances due to banking institutions (foreign)	456,055	329,655	2,129,849	520,673	456,055	329,655	2,129,849	520,673
26 Other money market deposits	-	-	-	-	-	-	-	-
27 Borrowed funds	-	-	-	-	-	-	-	-
28 Balances due to banking institutions in the group	60,726,688	72,688,316	74,619,285	76,105,247	60,726,688	71,977,669	73,846,688	75,440,994
29 Tax payable	-	-	431,564	-	-	-	350,773	-
30 Dividends payable	1,086,307	-	4,888,382	-	1,086,307		4,888,382	-
31 Deferred tax liability	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	5,126	16,518	-	-	5,126	16,518
33 Other liabilities	12,973,759	14,966,818	16,388,249	18,346,796	12,139,183	14,992,630	16,533,186	18,524,677
34 Total liabilities	**312,284,141**	**330,029,786**	**340,635,596**	**350,342,118**	**311,449,565**	**328,792,375**	**339,234,373**	**348,887,554**
C Shareholders' Funds								
35 Paid up / assigned capital	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768
36 Share premium / (discount)	-	-	-	-	-	-	-	-
37 Revaluation reserves	1,011,426	275,528	305,421	1,159,942	1,012,277	281,247	306,767	1,168,730
38 Retained earnings	37,544,612	35,990,855	37,823,328	37,595,951	38,474,542	37,095,138	39,051,008	38,902,864
39 Statutory loan loss reserve	-	-	-	-	-	-	-	-
40 Other reserves	184,754	208,881	212,843	203,925	184,754	208,881	212,843	203,925
41 Proposed dividend	-	4,888,382	-	-	-	4,888,382	-	-
42 Capital grants	-	-	-	-	-	-	-	-
43 Total shareholders' funds	**41,456,560**	**44,079,414**	**41,057,360**	**41,675,586**	**42,387,341**	**45,189,416**	**42,286,386**	**42,991,287**
44 Minority Interest					-		-	-
45 Total liabilities and total shareholders funds	**353,740,701**	**374,109,200**	**381,692,956**	**392,017,704**	**353,836,906**	**373,981,791**	**381,520,759**	**391,878,841**
II STATEMENT OF COMPREHENSIVE INCOME								
1.0 INTEREST INCOME								
1.1 Loans and advances to customers	10,963,147	22,544,646	5,468,471	10,873,912	10,963,147	22,544,646	5,468,471	10,873,912
1.2 Government securities	4,046,998	8,065,268	2,072,110	4,297,956	4,062,064	8,101,769	2,082,473	4,318,682
1.3 Deposits and placements with banking institutions	157,796	377,506	69,357	124,985	157,796	377,506	69,357	124,985
1.4 Other interest income	-	-	-	-	-	-	-	-
1.5 Total interest income	**15,167,941**	**30,987,420**	**7,609,938**	**15,296,853**	**15,183,007**	**31,023,921**	**7,620,301**	**15,317,579**
2.0 INTEREST EXPENSES								
2.1 Customer deposits	3,440,585	6,466,845	1,538,216	3,193,841	3,440,585	6,454,616	1,528,850	3,173,109
2.2 Deposits and placements with banking institutions	643,492	1,255,049	411,369	748,476	640,487	1,252,044	411,369	748,476
2.3 Other interest expenses	69,474	138,722	47,552	91,575	69,474	138,722	47,552	91,575
2.4 Total interest expenses	**4,153,551**	**7,860,616**	**1,997,137**	**4,033,892**	**4,150,546**	**7,845,382**	**1,987,771**	**4,013,160**
3.0 NET INTEREST INCOME	**11,014,390**	**23,126,804**	**5,612,801**	**11,262,961**	**11,032,461**	**23,178,539**	**5,632,530**	**11,304,419**
4.0 NON - INTEREST INCOME								
4.1 Fees and commissions income on loans & advances	668,648	1,410,349	390,703	695,772	668,648	1,410,349	390,703	695,772
4.2 Other fees and commissions	2,136,696	4,125,135	902,201	1,714,752	2,404,857	4,710,388	1,125,756	2,119,915
4.3 Foreign exchange trading income	1,707,565	3,640,577	1,143,129	2,061,768	1,707,565	3,640,577	1,143,129	2,061,767
4.4 Dividend income	-	-	-	-	-	-	-	-
4.5 Other income	505,587	841,964	313,056	634,051	505,587	826,998	309,315	631,633
4.6 Total non-interest income	**5,018,496**	**10,018,025**	**2,749,089**	**5,106,343**	**5,286,657**	**10,588,312**	**2,968,903**	**5,509,087**
5.0 Total operating income	**16,032,886**	**33,144,829**	**8,361,890**	**16,369,304**	**16,319,118**	**33,766,851**	**8,601,433**	**16,813,506**
6.0 OPERATING EXPENSES								
6.1Loan loss provision	1,640,985	4,199,411	1,114,502	5,383,999	1,641,335	4,200,588	1,115,689	5,384,951
6.2 Staff costs	4,708,660	9,999,145	2,431,687	4,888,712	4,784,344	10,158,447	2,491,078	5,019,598
6.3 Directors emoluments	83,645	172,623	45,013	95,250	86,725	178,783	47,241	100,388
6.4 Rental charge	37,813	92,887	23,734	40,855	38,296	93,371	23,734	40,855
6.5 Depreciation on property and equipment	550,401	1,069,667	263,810	507,713	550,401	1,069,728	263,826	507,743
6.6 Amortisation charges	194,839	391,749	99,731	195,556	194,839	392,501	102,046	200,214
6.7 Other operating expenses	2,729,356	5,361,876	1,113,559	2,272,488	2,749,607	5,392,198	1,127,552	2,300,290
7.0 Total operating expenses	**9,945,699**	**21,287,358**	**5,092,036**	**13,384,573**	**10,045,547**	**21,485,616**	**5,171,166**	**13,554,039**
Profit before tax and exceptional items	**6,087,187**	**11,857,471**	**3,269,854**	**2,984,731**	**6,273,571**	**12,281,235**	**3,430,267**	**3,259,467**
8 Exceptional items	560,810	1,528,986	552,056	1,666,929	560,810	1,528,986	552,056	1,666,929
9 Profit after exceptional items	**5,526,377**	**10,328,485**	**2,717,798**	**1,317,802**	**5,712,761**	**10,752,249**	**2,878,211**	**1,592,538**
10 Current tax	(1,913,698)	(3,884,767)	(728,269)	(525,959)	(1,985,671)	(4,021,267)	(775,159)	(606,194)
11 Deferred tax	144,756	717,727	(155,942)	(404,367)	150,624	725,095	(147,184)	(397,352)
12 Profit after tax and exceptional items	**3,757,435**	**7,161,445**	**1,833,587**	**387,476**	**3,877,714**	**7,456,077**	**1,955,868**	**588,992**
13 OTHER COMPREHENSIVE INCOME								
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2 Fair value changes in FVOCI financial assets	689,671	(361,612)	42,704	1,153,166	689,030	(355,299)	36,457	1,156,712
13.3 Revaluation surplus on property,plant and equipment	-	-	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	(206,901)	108,484	(12,811)	(268,751)	(206,709)	106,590	(10,937)	(269,229)
14 Other comprehensive income for the year net of tax	**482,770**	**(253,128)**	**29,893**	**884,415**	**482,321**	**(248,709)**	**25,520**	**887,483**
15 Total comprehensive income for the year	**4,240,205**	**6,908,317**	**1,863,480**	**1,271,891**	**4,360,035**	**7,207,368**	**1,981,388**	**1,476,475**
Earnings per Share (Shs)	0.69	1.32	0.34	0.07	0.71	1.37	0.36	0.11
Dividends per share (Shs)	0.20	1.10	-	-	0.20	1.10	-	-

On 10 February 2020, Barclays Bank Kenya Limited changed its name to Absa Bank Kenya PLC. Absa Bank Kenya PLC is regulated by the Central Bank of Kenya.

	Bank			
	June 2019 Shs '000 Unaudited	December 2019 Shs '000 Audited	March 2020 Shs '000 Unaudited	June 2020 Shs '000 Unaudited
III OTHER DISCLOSURES				
1) Non-performing loans and advances				
a) Gross non-performing loans and advances	15,698,136	13,518,692	17,334,399	17,012,548
b) Less: Interest in suspense	3,021,320	2,601,418	2,378,272	2,439,830
c) Total non performing loans and advances	**12,676,816**	**10,917,274**	**14,956,127**	**14,572,718**
d) less: loan loss provisions	8,363,114	7,807,800	8,794,546	8,378,762
e) Net non performing loans(c-d)	**4,313,702**	**3,109,474**	**6,161,581**	**6,193,956**
f) Discounted value of securities	2,139,736	1,981,629	2,097,740	4,372,214
g) Net NPLs (Excess) / Exposure (e-f)	**2,173,966**	**1,127,845**	**4,063,841**	**1,821,742**
2) Insider loans and advances				
a) Directors ,shareholders and associates	39,821	39,330	38,796	38,233
b) Employees	10,486,064	10,340,168	10,264,813	10,233,863
c) Total insider loans and advances	**10,525,885**	**10,379,498**	**10,303,609**	**10,272,096**
3) Off Balance sheet items				
a) Letters of credit ,guarantees, acceptances	21,042,420	23,208,133	22,428,834	25,197,336
b) Forwards, swaps and options	74,984,368	103,646,010	105,254,274	119,490,552
c) Other contingent liabilities	-	-	-	-
Total Contingent liabilities	**96,026,788**	**126,854,143**	**127,683,108**	**144,687,888**
4) Capital Strength				
a) Core capital	38,381,663	38,706,623	39,622,302	40,117,982
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess / (Deficiency)	**37,381,663**	**37,706,623**	**38,622,302**	**39,117,982**
d) Supplementary capital	5,120,329	7,601,251	7,886,246	7,994,999
e) Total capital	**43,501,992**	**46,307,874**	**47,508,548**	**48,112,981**
f) Total risk weighted assets	271,930,717	277,812,947	288,089,488	291,125,988
g) Core capital / total deposit liabilities	16.8%	16.3%	16.6%	16.2%
h) Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%
i) Excess / (Deficiency)	**8.8%**	**8.3%**	**8.6%**	**8.2%**
j) Core capital / total risk weighted assets	14.1%	13.9%	13.8%	13.8%
k) Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%
l) Excess / (Deficiency)	**3.6%**	**3.4%**	**3.3%**	**3.3%**
m) Total capital / total risk weighted assets	16.0%	16.6%	16.5%	16.5%
n) Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%
o) Excess / (Deficiency)	**1.5%**	**2.1%**	**2.0%**	**2.0%**
p) Adjusted Core Capital/Total Deposit Liabilities*	17.0%	16.8%	17.0%	16.3%
q) Adjusted Core Capital/Total Risk Weighted Assets*	14.3%	14.3%	14.0%	13.9%
r) Adjusted Total Capital/Total Risk Weighted Assets*	16.1%	17.0%	16.7%	16.7%
5) Liquidity				
a) Liquidity ratio	38.7%	39.8%	37.9%	39.1%
b) Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c) Excess / (Deficiency)	**18.7%**	**19.8%**	**17.9%**	**19.1%**

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital Shs '000	Other reserves Shs '000	Retained profit Shs '000	Proposed dividend Shs '000	Total equity Shs '000
Balance at 1 January 2020	2,715,768	490,128	37,095,138	4,888,382	45,189,416
Profit for the year	-	-	588,993	-	588,993
Other comprehensive income/(loss) for the year	-	887,483	(6,267)	-	881,216
Total comprehensive income for the year	**-**	**887,483**	**582,726**	**-**	**1,470,209**
Issues of shares under share based payment plans	-	(4,956)	-	-	(4,956)
Final dividend for 2019 paid	-	-	-	(3,663,382)	(3,663,382)
Dividend waived	-	-	1,225,000	(1,225,000)	-
Balance at 30 June 2020	2,715,768	1,372,655	38,902,864	-	42,991,287

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS / NET INTEREST INCOME

	June 2019 Unaudited Shs '000	December 2019 Audited Shs '000	June 2020 Unaudited Shs '000
Net cash flows generated from operating activities	3,125,465	6,077,252	2,693,991
Net cash used in investing activities	(81,125)	(1,717,782)	(447,500)
Net cash used in financing activities	(4,888,382)	(3,442,000)	(3,663,382)
Net (decrease)/increase in cash and cash equivalents	(1,844,042)	917,470	(1,416,891)
Cash and cash equivalents at 1 January	19,214,126	19,214,126	20,131,596
Cash and cash equivalents at 30 June	17,370,084	20,131,596	18,714,705

Message from the Directors:

Our transition to Absa has been successfully completed on time and on budget, having migrated all our technology systems and rebranded all business assets to Absa. To ensure that financial performance is comparable and to report the progress of the underlying business, KES1.7billion has been reported as an exceptional item, relating to the cost incurred in the transition project. The Bank will continue upgrading to more advanced systems, which will ultimately help enhance the service experience.

Performance Highlights

Our Financial Performance is a testament of our resilience and sustainable performance into the future having recorded a Pre-provision profit growth of 9.2% to KES8.6billion against a background of a challenging local and global Macro economic environment.

The drop in PBT is attributable to growth in impairment in light of the higher credit risk due to the economic effects of the Covid-19 pandemic and guided by the IFRS standards. We have taken high provisions to position for future potential deterioration in the macro-economic environment.

In this period, the bank offered loan relief and restructures totaling KES57 billion to customers, equivalent to 28% of net customer loans and advances. As a responsible lender, we passed on the benefits of the reduction in CBR to our customers to give them the much-needed relief in this period.

The statement of financial position, the statement of comprehensive income and the disclosures presented above have been prepared from the financial records of the bank and its subsidiaries. These published statements are also available on the bank's website www.absabank.co.ke and at its headquarters on Waiyaki Way, Nairobi

The board approved them on Thursday 27th August, 2020 and signed on its behalf by:

Chairman
Charles Muchene

Managing Director
Jeremy Awori